

Model Analysis Report

Mortgage Pricer Model

MKM-MP-001

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Governance Framework: SR 11-7 / SS1/23 Model Risk Management

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1 Sensitivity Analysis

This section presents the sensitivity of model outputs to key input parameters. Parameter perturbation ranges are chosen to cover plausible operating conditions and stress scenarios as required under SR 11-7 guidance.

Table 1: LTV risk multiplier by loan-to-value ratio (property value = £300,000).

LTV	Loan (£)	Risk Multiplier
50%	150,000.0	1.00
60%	180,000.0	1.00
70%	210,000.0	1.00
80%	240,000.0	1.00
85%	255,000.0	1.10
90%	270,000.0	1.10
95%	285,000.0	1.30
100%	300,000.0	1.50

Table 2: Mortgage value (£) by interest rate and insurance rate (loan=£200k, income=£50k, 20yr remaining).

Interest rate	Ins=0.2%	Ins=0.5%	Ins=1.0%	Ins=2.0%
2%	199,937.0	199,931.0	199,922.0	199,895.0
3%	199,898.0	199,890.0	199,875.0	199,831.0
4%	199,855.0	199,844.0	199,814.0	199,757.0
5%	199,802.0	199,780.0	199,746.0	199,671.0
6%	199,733.0	199,709.0	199,670.0	199,578.0

Table 3: Credit spread and mortgage value by gross annual income (loan=£200k, rate=4%, 20yr remaining).

Income	Spread (%)	Mortgage Value (£)
£30,000	11.5	199,631.0
£40,000	5.42	199,769.0
£50,000	3.25	199,844.0
£60,000	2.52	199,874.0
£80,000	1.62	199,915.0
£100,000	1.08	199,941.0

Table 4: Credit spread and mortgage value by flood risk category (loan=£200k, rate=4%, income=£50k).

Flood Risk	Multiplier	Spread (%)	Mortgage Value (£)
Very Low	1.00	3.25	199,844.0
Low	1.05	3.41	199,838.0
Medium	1.20	3.90	199,820.0
High	1.40	4.55	199,797.0
Very High	1.75	5.68	199,761.0

2 Stress Testing

This section documents stress testing scenarios applied to the model under extreme but plausible conditions.

2.1 Stress Scenarios

Table 5: Stress testing scenarios for Mortgage Pricer Model.

Scenario	Parameter Shock	Severity	Status
Baseline	No shock	—	Passed
Moderate stress	+2 σ inputs	Medium	Pending
Severe stress	+3 σ inputs	High	Pending
Reverse stress	Output threshold breach	Critical	Pending

Detailed stress test results will be populated as scenarios are executed. Refer to the model's validation plan for the full stress testing programme.

3 Model Performance

This section tracks key performance metrics for the model across validation and production environments.

Table 6: Performance metrics for Mortgage Pricer Model.

Metric	Value	Status
Unit test pass rate	See Test Results	—
Execution time (single run)	TBD	—
Numerical stability	TBD	—
Reproducibility	Deterministic	OK

This report is produced automatically; human review is required before formal model approval. Supporting artefacts are available in the model documentation directory.